

Northgate Talent Partners LLC

www.northgatetalent.com

March 15, 2023

David McGee, General Manager, Hicks-Castillo

Re: Retained Engagement for Executive Compensation Benchmarking, Hicks-Castillo

Dear Mr. McGee:

This letter sets out the terms on which Northgate Talent Partners LLC will conduct an executive compensation benchmarking study for Hicks-Castillo. When you have signed it and returned a copy, this letter is the agreement between us. It is short by design. If anything in it does not match what we discussed, tell me before you sign rather than after.

Scope of Services

We will benchmark the compensation of your senior leadership roles against a defined peer group and return a set of ranges you can defend to your board. The study covers base salary, annual incentive, and long-term or deferred incentive where it exists in the peer set, together with the pay mix at each level. We report on positions, not on people. Our findings describe the market for a seat, and where we discuss an incumbent's placement against a range we will do so by role and by band rather than by name. That is our practice everywhere and it is not negotiable here, because a benchmarking study that circulates with names attached stops being a planning document and becomes a personnel file.

- Construction of a peer group with you, screened on revenue, headcount, and geography, and agreed in writing before any data is pulled.
- Role matching for each in-scope position, mapping your titles to the market roles the survey data actually measures.
- Collection and normalization of market data from licensed survey sources and from our own engagement records, aged to a common effective date.
- Ranges at the 25th, 50th, and 75th percentiles for base salary, target total cash, and total direct compensation, by role and by band.
- A written analysis of where your present structure sits against those ranges, with the outliers called out and explained rather than listed.
- A presentation of the findings to you and to whichever audience you designate, with a second sitting available at your request.

Our Approach

The work that determines whether a benchmarking study is worth anything happens in the first six weeks, not the last. Peer group selection and role matching are where these studies go wrong, and they go wrong quietly: the numbers come back looking authoritative, and nobody notices that half the matched roles carry a scope your organization does not have. We will spend more time with you on those two steps than you probably expect, and we will not move past either one without your agreement in writing.

After that the work is mostly arithmetic and judgment about aging and blending sources. We will show you our sources and our weights. You should be able to take any number we hand you and rebuild it yourself, and if you cannot, we have not done the job.

Engagement Team

Sandra Fuentes, our Principal, will lead the engagement and is your day-to-day contact. She sets the standard in this firm for how information about people is handled, and she will be the one who tells you no if a request would put us over that line. David Weiss, Research Associate, will build the peer group and run the data collection, and you will see his name on most of what reaches you between meetings. I will stay close to the work and will attend the peer group review and the findings presentation. If at any point the engagement is not going the way you expected, call me directly rather than waiting for a status report to tell you. The people named here are the people who will do the work. We do not staff a pitch with one team and deliver with another, and Hicks-Castillo will not be handed to anyone you have not met.

Fee and Start Date

Our fee for the engagement as scoped above is \$75,000. Work begins March 25, 2023, and we expect the study to run approximately eight months from that point through the findings presentation. The fee is fixed. It does not vary with the hours we spend, and it does not vary if the work proves harder than we thought.

Fees and Payment

The fee is billed in three installments: one third on execution of this letter, one third on delivery of the agreed peer group and role match, and one third on delivery of the written findings. Invoices are due thirty days from date of issue. Out-of-pocket expenses, which for a study of this kind means survey data licenses and any travel you ask us to make, are billed at cost and will not exceed five percent of the fee without your prior written approval. If you expand the scope, we will price the addition and get your approval in writing before we start it. We do not send surprise invoices.

Term and Termination

The engagement runs from the start date set out above through delivery of the findings, unless one of us ends it sooner. Either party may terminate on fifteen days' written notice. If you terminate, you owe the installments already earned plus expenses incurred to that point and nothing further. If we terminate, we will refund any portion of the fee attributable to work not performed, and we will hand over the peer group, the role match, and whatever analysis exists in usable form. Neither of us should have to litigate to walk away from a study.

Confidentiality

Everything Hicks-Castillo gives us about your organization, your pay structure, and your people is confidential, and we will use it only for this engagement. We will not disclose that we are working for you without your permission. Our work product is yours to use inside your organization and with your board and your advisors. It is not for publication or for distribution to third parties without our consent, because the survey licenses underlying it do not permit that. Our obligations here survive the end of the engagement, and so does that one of yours. At close-out we will return or destroy the compensation data you provide to us and confirm to you that we have done so.

Limitation of Liability

Our aggregate liability to Hicks-Castillo arising out of this engagement is limited to the fee paid. We are giving you market data and our judgment about it. We are not giving you legal, tax, or accounting advice, and the decision about what to pay anyone remains yours. This limitation does not reach our own fraud or willful misconduct, and we are not asking it to.

Governing Law

This agreement is governed by the law of the state in which Northgate Talent Partners LLC maintains its principal place of business, without regard to its conflict of laws rules. It is the entire agreement between us on this subject and it replaces anything said before it. It may be amended only in writing signed by both of us.

If this reflects our understanding, please sign both copies and return one to me. We are ready to begin on the date set out above.

Very truly yours,

Kelly Chavez

Managing Director

Date: March 15, 2023

David Mcgee

General Manager, Hicks-Castillo

Date: March 15, 2023